

404- relevance of health economics

1. the share of the size of contribution....

Table 1: Yearly National Health Expenditure (in \$) and as % of GDP of Bangladesh

Year	National Health Expenditure (in \$)	% of GDP
2010	5.58 billion	1.90%
2011	5.95 billion	2.00%
2012	6.32 billion	2.10%
2013	6.69 billion	2.20%
2014	6.92 billion	2.30%
2015	7.38 billion	2.40%
2016	7.84 billion	2.50%
2017	8.30 billion	2.60%
2018	8.76 billion	2.70%
2019	9.22 billion	2.80%
2020	10.16 billion	3.00%

Data Source: World Bank's World Development Indicators database

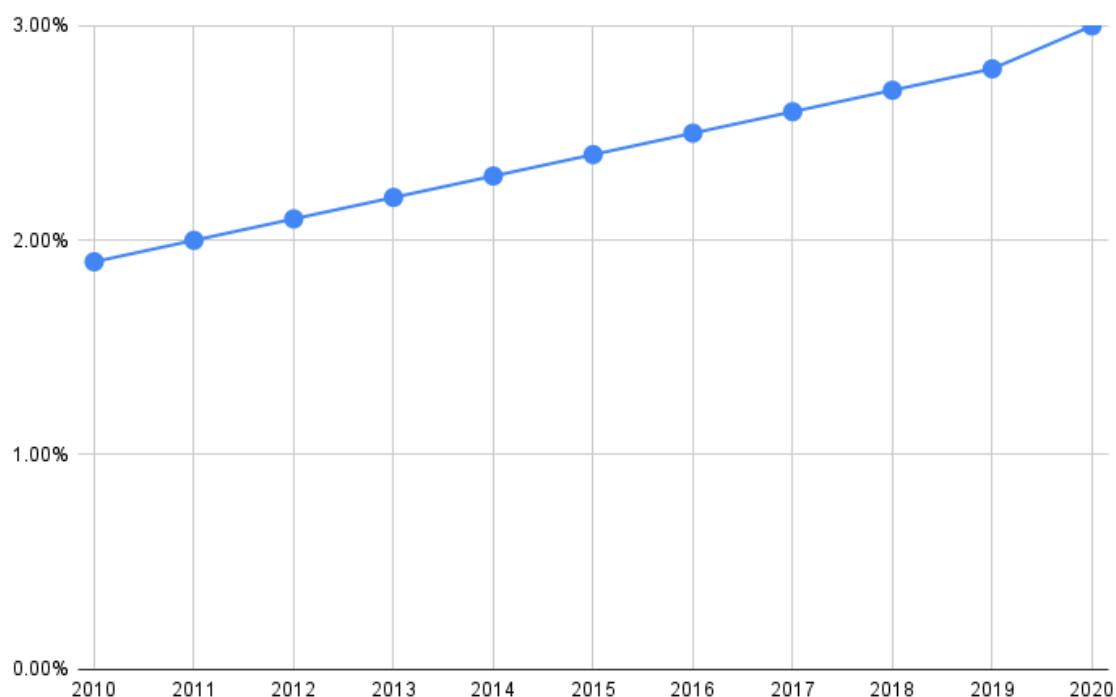


Fig: Trend of National Health Expenditure (% of GDP) in Bangladesh (2010-2020)

From Table 1 and the above figure, we can see that Bangladesh's yearly Gross National Health Expenditure (in \$) and National Health Expenditure as % of GDP is rising consistently and gradually with no tendency to fall.

2. the national policy concerns...

The health sector receives attention from policymakers because of its widely perceived problems. The yearly average level of health care expenditure of Bangladesh reflects that the substantial resources are being allocated to health care.

Table 1 shows that National Healthcare expenditure (in \$) has risen by approximately 2 times from 5.58 billion dollars in 2010 to 10.16 dollars in 2020 and National Healthcare expenditure as \$ of GDP has increased by more than 1% from 1.90% in 2010 to 3.00% in 2020.

Inflation

Table 2: Bangladesh's monthly overall CPI and Health care CPI with change from previous month

Month	Overall CPI	Change from Previous Month	Health Care CPI	Change from Previous month
January 2023	108.75	+0.63%	100.61	+0.59%
February 2023	109.46	+0.71%	101.43	+0.82%
March 2023	109.85	+0.39%	101.9	+0.47%
April 2023	110.35	+0.50%	102.27	+0.37%
May 2023	111.23	+0.88%	103	+0.73%
June 2023	112.46	+1.23%	105.65	+2.66%

Source: Bangladesh Bureau of Statistics (BBS)

Here, Table 2 shows Bangladesh's monthly overall CPI and Health care CPI with change from previous month (from Jan '23 to Jun '23). In past 6 months, overall CPI has risen by 3.4 times from 108.75 in Jan '23 to 112.46 in Jun '23 and Health care CPI has increased by about 5 times from 100.61 in Jan '23 to 105.65 in Jun '23. Comparing rising trends of both CPIs we can see that on average Health Care prices are rising much faster than overall prices. From May '23 to Jun' 23, the increasing rate of Health Care prices is greater than the increasing rate of overall prices by more than 2 times.

So, medical price inflation is a great problem and therefore, health economics is important to understand and evaluate the effect of such problems.

Access

Since the medical costs are rising, accessibility to health care is falling and people are demanding less and less health care goods and services. Number of people having health insurance is falling. Hence, judicious use of health economics in this regard may increase the number of insured.

3. the many health issues that have substantial....

Economics is not just about production, costs, and insurance. It also has a role to play in health care.

Some economic elements related to health care can be shown by the following-

1. The choice of a health care treatment is not purely medical. It is also influenced by economic factors such as the cost of alternative treatments and the patient's preferences.
2. People's health choices are also influenced by economic factors. For example, people may choose to take care of their health better when they have more money to spend.
3. Other health issues that have an economic aspect include the role of government in health care, health care investments in developing countries, and cigarette advertising.